

How Ohio Funds Public Education – Made Simple

1. Who Pays for Schools?

Ohio schools are funded by two main sources:

- **The State:** Money comes from Ohio's budget.
- **Local Communities:** Money comes mostly from local property taxes (and sometimes income taxes approved by voters).

Over time, the **state has paid less** of the total cost, which means **local taxpayers are paying more**.

2. How the State's Funding Formula Works

The state looks at:

- How wealthy a district is (property values + resident income).
- The number of students and their needs.

But here's the problem:

- The formula **hasn't been updated to reflect the true cost of educating kids**.
- State funding is shrinking:
 - 1999: State paid **47%** of school costs.
 - 2024: Down to **38%**.
 - 2027: Expected to drop to **32%**.

So when costs rise, local taxpayers cover the gap.

3. Local Property Taxes: Key Rules

- **Inside Millage (10 mills):** A small, automatic tax that doesn't need a vote.
- **HB 920 (1976):** Prevents districts from collecting more money when property values go up; tax rates are lowered instead. This means schools must **ask voters for new levies often**.

- **20-Mill Floor:** Ensures taxes can grow a bit once rates drop to this floor, setting a minimum local funding level.
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4. Major Policy Changes That Shifted Costs

Over decades, Ohio passed laws that reduced business taxes and state funding, leaving homeowners to pick up the slack. Key changes:

- **1976:** HB 920 limits tax growth from rising property values.
- **2005–2009:** End of a business tax (TPP) hurt schools, especially in manufacturing areas.
- **2012–2013:** State cut funds to local governments and eliminated tax reimbursements.
- **2013–2023:** Continued income tax cuts reduced state revenue.
- **2024:** New tax cuts for power plants further lowered local funding.

Result: In 1975, businesses paid **54%** of school taxes. In 2023, they paid **25%**—leaving homeowners paying **75%**.

5. Why This Matters

- Schools rely heavily on local taxes to pay teachers, run buses, and maintain buildings.
 - Frequent tax levies happen because state money hasn't kept up with rising costs.
 - Communities are carrying a heavier load than ever before, making it harder to balance quality education and fair taxes.
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6. The Big Picture

- Ohio ranks **below the national average** in how much it invests per student.
- Tax laws that seemed helpful decades ago now make school funding unstable.
- Local school leaders want to **be transparent**, use resources wisely, and **involve the community** in finding solutions.